

Towards Enhancing Subcontracting in Algeria: A Legal Framework for Promoting Subcontracting Activities

نحو تعزيز المناولة في الجزائر: إطار قانوني لتشجيع أنشطة المناولة

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Abstract:

Under the influence of economic globalization, competition, and shorter product life cycles, firms are seeking new organizational configurations to better control their proprietary technologies and management systems, aiming to achieve peak performance in their strategic operations. These multifaceted pressures drive them to pursue development pathways that leverage their core strengths while enhancing responsiveness to demanding customers and increasingly efficient competitors. Indeed, in their pursuit of innovative and high-quality products, some firms focus on upstream activities (R&D, design, engineering) or downstream functions (marketing, distribution), leading them to optimize resource allocation and outsource specific tasks. Such outsourcing enables them to delegate non-core activities to external suppliers, thereby concentrating internal resources on value-creating competencies.

Keywords: subcontracting, outsourcing, joint contracting, vertical integration, subcontracting agreement.

JEL Classification Codes: L14 , L22 , D23 , L24 .

ملخص:

في ظل العولمة الاقتصادية، وتزايد حدة المنافسة، وقصر دورات حياة المنتجات، تتجه الشركات إلى تبني تكوينات تنظيمية جديدة تتيح لها قدرًا أكبر من التحكم في تقنياتها المملوكة وأنظمتها الإدارية، بهدف تحقيق

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الأداء الأمثل في عملياتها الإستراتيجية. وتدفع هذه الضغوط المتعددة الأبعاد المؤسسات إلى انتهاج مسارات تنموية تستند إلى استثمار كفاءاتها الجوهرية، مع تعزيز قدرتها على التكيف مع احتياجات العملاء المتزايدة ومواجهة المنافسين ذوي الكفاءة العالية. وفي هذا السياق، تركز بعض الشركات على الأنشطة الأولية كالبحث والتطوير، والتصميم، والهندسة، أو على الأنشطة النهائية كالتسويق والتوزيع، مما يدفعها إلى تحسين تخصيص مواردها واللجوء إلى الاستعانة بمصادر خارجية في بعض الوظائف. ويتيح هذا التوجه تفويض الأنشطة غير الأساسية إلى جهات خارجية، مما يسمح بتركيز الموارد الداخلية على الوظائف ذات القيمة المضافة العالية. **كلمات مفتاحية:** المناولة، الاستعانة بمصادر خارجية، التعاقد المشترك، التكامل الرأسي، اتفاقية المناولة. تصنيفات JEL : L14 , L22 , D23 , L24 .

1. INTRODUCTION

Many companies subcontract specific activities to external third-party service providers. A prominent example is Apple's iPad, which bears the label "Designed by Apple in California, Assembled in China." Had Apple manufactured iPhones entirely in the U.S., their design might still have been outsourced to Chinese partners. Three primary reasons are commonly cited for large-scale reliance on subcontracting: (1) accessing otherwise unavailable expertise, (2) cost reduction, and (3) the opportunity to focus on core business competencies.

In Algeria, subcontracting serves as a key instrument for strengthening the SME ecosystem. It is promoted through targeted policies aimed at enhancing national economic competitiveness. The practice first emerged in the 1970s within the mechanical engineering sector, with local subcontractors supplying major state-owned enterprises such as: "National Industrial Vehicles Company", "National Public Works Company" and "The Constantine-based engine and tractor manufacturing complex."

A notable milestone was the establishment of the "Industrial Telecommunications Company" in 1988 through an Algerian-Swedish joint venture, initially focused on producing digital telephone exchanges. However, ***how has subcontracting evolved in Algeria today?*** This is the main problematic that we're going to answer in this article.

Accordingly, this study seeks to analyze the evolution of subcontracting in Algeria by diagnosing its current state, identifying its various forms, and assessing its level of integration within the national industrial landscape. The research adopts a descriptive-analytical methodology based on a review of relevant literature, an examination of public policies dedicated to subcontracting, and the analysis of available economic indicators. This framework serves as a foundation for understanding the realities of subcontracting in Algeria and for identifying the key challenges and opportunities it presents.

1. THE SUBCONTRACTING CONCEPT

1.1. Definition: The subcontracting refers to the process by which a company entrusts part of its production to another firm through a contractual agreement while retaining ultimate responsibility (Fridkin & Kordova, 2022). The company issuing the subcontract is termed either: The principal contractor (or contracting enterprise, the client company). The executing firm is designated as: The subcontractor, or the supplier enterprise. In other words, subcontracting constitutes any outsourced manufacturing operation.

Widely adopted by corporations globally, subcontracting (commonly termed outsourcing) constitutes a production strategy whereby specialized tasks are delegated to third-party entities possessing domain-specific expertise (Tsay, Gray, Noh, & Mahoney, 2018).

The Subcontracting demonstrates broad applicability across multiple business domains, including: manufacturing operations, exemplified by transnational corporations outsourcing production to Asia for competitive economic advantages, marketing functions, where specialized digital agencies manage corporate communication channels, and customer service operations, typically delegated to call centers. These three scenarios represent distinct subcontracting strategies within contemporary business models.

The Subcontracting is extensively utilized across multiple industrial sectors, including: automotive manufacturing, clothes production, metal component fabrication, pharmaceutical production for human medicine, etc. The construction and public works sector represents the most intensive user of subcontracting arrangements, particularly for: electrical systems installation,

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plumbing services, elevator installation. In a nutshell, various specialized construction activities.

Beyond monetary savings, subcontracting offers substantial operational advantages including: enhanced production efficiency, optimized performance evolution, increased responsiveness to market fluctuations, improved manufacturing quality standards, and access to specialized technical expertise through partnerships with domain-specific enterprises (Kenyon, Meixell, & Westfall, 2016).

1.2. Theoretical Foundation of Subcontracting Typologies: The rationale for adopting subcontracting directly informs its classification. Building on (Vasilska, 2021), we distinguish five fundamental types:

- **The compliance subcontracting :** the principal firm (contractor) engages in compliance subcontracting when it lacks either: the technical expertise required for production, or the specialized equipment necessary for manufacturing. In such cases, the contractor delegates production to a subcontractor possessing superior competencies or better-equipped facilities;
- **The capacity-driven subcontracting:** The principal firm (contractor) resorts to capacity subcontracting when facing production capacity constraints that prevent it from fulfilling a surge in demand. In such cases, the contractor delegates a portion of its order volume to a subcontractor to maintain operational continuity;
- **Strategic partnership subcontracting:** a firm employs strategic subcontracting to either: test-market viability before full market entry, or evaluate a potential acquisition target through operational collaboration prior to mergers and acquisitions activity;
- **Market-oriented subcontracting :** Market-oriented subcontracting occurs when a principal contractor (the lead firm) delegates the execution of a portion of a contracted project to a specialized subcontractor, following an agreement with the project owner. This establishes a tripartite relationship involving: the project owner (client/principal), the lead firm (prime contractor), and the subcontractor (specialized supplier);

- **Multi-Tier Subcontracting** : Multi-tier subcontracting occurs when a primary subcontractor (Tier 1) further delegates part of its contractual obligations to a secondary subcontractor (Tier 2), creating a hierarchical supply chain:

Lead firm → Tier 1 subcontractor → Tier 2 subcontractor.

Other scholars have proposed distinct classifications of subcontracting models.(Goles & Chin, 2005)advance a particularly influential taxonomy that identifies four alternative typologies:

- **The business process outsourcing**, which involves the outsourcing of an entire process;
- **The knowledge process outsourcing**, which consists of outsourcing complex tasks carried out by specialists;
- **The out tasking**, which consists of outsourcing in well-defined areas of operation;
- **The selective outsourcing**, which involves outsourcing in specific subdomains—broader in scope than individual tasks but without encompassing the entire process.

2. FORMS OF SUBCONTRACTING IN ALGERIA AND INTEGRATION RATES: the algerian legislator recognizes two forms of subcontracting: industrial subcontracting and co-contracting in the public procurement code.

2.1. The subcontracting types:

- ❖ **The industrial subcontracting** constitutes a contractual arrangement wherein a principal contractor delegates to a subcontractor the manufacture of designated production components, partial assembly, and/or ancillary services, in compliance with predetermined technical specifications (**art. 2, executive decree n°. 20-311**). This framework involves a single contracting entity.
- ❖ **The subcontractor:** Any Algerian natural or legal person engaged in industrial or service activities related to design and engineering, contributing to the production of components intended for integration on behalf of a manufacturer (**art. 2, executive decree no. 20-313**)(Executive decree no.20-313 of november 15th, 2020 , 2020).

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Furthermore, the manufacturer commits to implementing an operational industrial approach for local integration within its factory and/or by utilizing national subcontracting (**art. 6, executive decree n°. 20-313, annex 1** - technical specifications regarding conditions for benefiting from preferential fiscal regime for manufacturers of electronic and household appliances) (Executive decree no.20-313 of november 15th, 2020 , 2020).

The objective is to market a product of local origin, defined as any product resulting from industrial processing of raw materials and/or component integration, achieving the prescribed integration rate (**art. 2, executive decree n°. 20-313**) (Executive decree no.20-313 of november 15th, 2020 , 2020). We will subsequently examine the concepts of integration and integration rate in greater detail.

Under the public procurement code, a subcontractor is an economic operator - whether Algerian or foreign, comprising one or more natural and/or legal persons, public and/or private entities. This qualified economic operator, selected based on technical and capacity requirements, is indirectly engaged for a portion of public works contracts through a legally established subcontracting relationship. This relationship is governed by a subcontracting agreement concluded with the principal contractor (holder of the public works contract) in accordance with prevailing regulations and the general administrative clauses handbook.

In all circumstances, the principal contractor engaged in a subcontracting relationship remains solely responsible to the contracting authority for work performed by their subcontractor (**art. 4, executive decree n°. 21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021).

This subcontractor may take the form of a temporary business consortium comprising at least three (3) economic operators, thereby constituting co-contracting. A temporary business consortium refers to an ad hoc agreement between multiple enterprises to submit a joint bid or proposal for the execution of a public contract.

Such a consortium represents an arrangement where two or more economic operators organize themselves into a temporary partnership established through a consortium agreement, without constituting a separate

legal entity. This mechanism enables enterprises to bid for public contracts that they would be unable to undertake individually (**art. 40, executive decree n°. 21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021).

- ❖ **The co-contracting :** A temporary business consortium may take one of two forms: a joint and several liability consortium and a joint venture consortium. This establishes two distinct types of joint contracting: solidary joint contracting and several/joint liability contracting.
- ❖ **The solidary joint contracting:** In a joint and several liability consortium, each member is: financially liable for the entire public contract value, and obligated to compensate for any default by consortium partners.

The consortium designates one member as the authorized representative in the contract documents. This representative acts on behalf of all contractors before both: the contracting authority and the project management team. This representative mandate covers the entire execution phase of the public works contract (**art. 40.3, executive decree n°. 21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021).

- ❖ **The joint liability contracting:** For the execution of public works contracts, the designated representative of a joint venture consortium bears joint and several liability for all contractual obligations of each consortium member toward the contracting authority. This liability persists until all contractual obligations are fully discharged (**art. 40.2, executive decree n°. 21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021).

2.2. The integration and the integration rate: Integration refers to the industrial manufacturing process of finished products through: incorporation of locally produced components, parts, and assemblies; utilization of intangible services including: software engineering, technical services, and related engineering services. This process enables progressive advancement in the value chain and increased local value-added content (**art. 2, executive decree n°. 20-313**)(Executive decree no.20-313 of november 15th, 2020 , 2020).

Regarding the integration rate, this metric is calculated using the following formula, based on the unit production cost excluding taxes:

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Figure1. Integration rate calculation formula with excluding taxes

$$\text{Integration rate} = [\text{UPC ex.tax} - (\text{UCIC ex.tax} + \text{UCCS ex.tax}) / \text{UPC}] \times 100$$

Source: official journal, n°. 67, november 15th, 2020, p. 21.

The aggregate value of unit production cost (UPC): local and imported materials, goods and services; and production overheads;

Unit cost of imported materials and goods consumed (UCIC): the total value of imported raw materials and products used in production;

Unit cost of consumed imported services (UCCS): the total value of imported services, defined as:

- Any technical service, study, or licensing rights;
- Including those procured locally from subcontractors;
- When payment is allocated across quantities per period as a pricing structure component.

However, when imported raw materials are unavailable on the domestic market as local substitutes, these materials are excluded from the UCIC factor, which is then adjusted to UCCS. In such cases, only semi-finished products and imported components are considered in the calculation

To qualify for tax and parafiscal exemptions, beneficiaries must first achieve a minimum local integration rate of 40% (**art. 5, executive decree n°. 20-311, annex 1 - technical specifications**)(Executive decree no. 20-311 of november 15th , 2020, 2020). The renewal of such exemptions is contingent upon reaching an elevated integration threshold of 60% (**art. 4, same decree**).

Under Algeria's industrial policy framework (**art. 8, executive decree n°. 20-311, annex 1**)(Executive decree no. 20-311 of november 15th , 2020, 2020), manufacturers may claim a 25% bonus on the base integration rate for any components or systems covered by patents that are either filed locally or permanently acquired - even when physical production occurs outside Algeria. This R&D incentive mechanism allows producers to count 25% of the original integration value of patented components or complete systems toward meeting the mandatory local content thresholds, regardless of where the manufacturing takes place, thereby encouraging technological development while maintaining flexibility in global supply chain management. For instance, an

Algerian pharmaceutical company could receive integration credit for a locally patented drug formula even if the active ingredients are produced abroad.

3. THE STATE SUPPORT STRUCTURES FOR SUBCONTRACTING IN ALGERIA

Under Industrial Policies, the Minister of Industry promotes industrial partnerships and encourages the emergence of subcontracting activities (**art. 3, executive decree n°. 20-393**)(Executive decree no. 20-393 of december 23th, 2020 , 2020). As part of industrial development, the Minister proposes measures and actions aimed at fostering integration and subcontracting (**art. 4, executive decree n°. 20-393**)(Executive decree no. 20-393 of december 23th, 2020 , 2020).

We now examine the various state support services tasked with developing subcontracting in Algeria, both administratively and financially.

3.1. The National Council for the Promotion of Subcontracting: The first structure supporting subcontracting emerged in 2001 with the enactment of law no. 01-18 of december 12nd, 2001, the Framework Law on the Promotion of Small and Medium-Sized Enterprises (SMEs), particularly under article 21. This structure, established as a council—the "National Council for the Promotion of Subcontracting"—was chaired by the Minister responsible for SMEs and comprised representatives from 20 ministries, including the Ministry of Trade and the Ministry of Industry, as well as relevant administrations, institutions, and associations involved in advancing subcontracting. To effectively implement subcontracting, the Council is tasked with (**art. 3, law n°. 01-18**)(law no. 01-18 of december 12nd, 2001, , , 2001):

- **economic integration:** to propose measures enhancing the integration of national economic sectors;
- **global SME participation:** to facilitate the inclusion of domestic SMEs in global subcontracting networks;
- **partnership development:** to promote collaborative ventures with major contractors (both domestic and international);
- **institutional coordination:** to oversee and synchronize operations of Algerian subcontracting and partnership exchanges;

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- **capacity optimization:** to maximize the utilization of SMEs' subcontracting potential.

The Council remained operational for sixteen years. However, in light of evolving economic conditions, it was dissolved in 2017 and replaced by "the Agency", a public institution with a specific mandate.

3.2. The Agency: The Agency is responsible for implementing the SME development strategy and executing state policy regarding subcontracting development, as specified in article 31 of framework **law n°. 17-02**(Law no. 17-02 of January 10th, 2017 , 2017) on small and medium enterprise (SME) development, with the following key mandates:

- **market intermediation:** facilitate matchmaking between contractors and subcontractors;
- **market intelligence:** collect and analyze national supply/demand data on subcontracting capacities;
- **SME capacity building:** enhancing SME subcontracting potential through targeted performance improvement programs;
- **sector promotion:** advancing subcontracting and partnership activities by supporting specialized market platforms;
- **information coordination:** serving as the national focal point for a unified subcontracting market information system;
- **standardized contracting:** developing sector-specific model contracts outlining rights/obligations for contracting parties;
- **regulatory guidance:** preparing and regularly update a legal handbook on subcontracting practices;
- **dispute resolution:** providing mediation services for contractor-subcontractor disputes.

State-mandated measures for enhancing national subcontracting capacity (**art. 32, law 17-02**)(Law no. 17-02 of January 10th, 2017 , 2017):

- **import substitution policy:** replace imported goods and services with domestic production through targeted industrial development programs;
- **mandatory local content provisions:** require foreign partners in public service contracts (including equipment design, supervision, and

implementation) to utilize national subcontractors through binding contractual clauses;

- **bid preference system:** incorporate preferential scoring criteria in public procurement tenders favoring bidders who partner with SME subcontractors.

As part of its national subcontracting development policy, the Agency provides technical and material support to subcontracting SMEs for product certification compliance (**art. 33, law 17-02**)(Law no. 17-02 of January 10th, 2017 , 2017).

3.3. The Directorate for Industrial Integration and Subcontracting Development

The Directorate for Industrial Integration and Subcontracting operates as a unit within the central administration of the Ministry of Industry, reporting to the General Directorate of Industrial Development - the body responsible for formulating strategic policies governing industrial integration and subcontracting systems. The Directorate for Industrial Integration and Industrial Subcontracting is tasked with the following missions (**art. 2, executive decree, n° 21-516**)(Executive decree no. 21-516 of December 25th, 2021 , 2021):

- **policy formulation & implementation:** developing and execute strategies for enhancing local industrial integration and subcontracting ecosystems;
- **strategic initiatives:** proposing targeted interventions to advance localized industrial linkages and supply-chain partnerships.
- **business intelligence:** systematically collecting, process, and disseminate sector data, including periodic performance evaluations.
- **market coordination:** overseeing and monitor operations of subcontracting and partnership exchanges.
- **cross-sectoral synergies:** facilitating intra- and inter-sectoral coordination to strengthen domestic industrial networks

The Directorate is headed by a Director and comprises two (2) subordinate divisions: Sub-Directorate for Local Industrial Integration Development and Sub-Directorate for Industrial Subcontracting Development.

a) Sub-Directorate for Local Industrial Integration Development,: mandated to perform the following core functions:

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- execute targeted programs and action plans designed to strengthen local industrial value-chain integration;
- systematically collect, process, and disseminate data on regional industrial linkage development;
- conduct periodic assessments of local integration initiatives and produce comprehensive performance reports.

b)Sub-Directorate for Industrial Subcontracting Development, mandated to perform the following core functions:

- execute targeted action plans to strengthen local industrial subcontracting ecosystems;
- systematically collect, analyze, and disseminate data on regional subcontracting development;
- monitor and coordinate operations of subcontracting and partnership exchanges;
- conduct periodic assessments of local subcontracting initiatives and produce comprehensive impact reports.

The Algerian government provides financial and material support—through grants or in-kind assistance—to SME associations and consortia working to enhance value-chain competitiveness, particularly in subcontracting networks. This support targets collaborative initiatives spanning all production stages, from R&D to final consumption, for both tangible and intangible goods and services (**art. 27, law 17-02**)(Law no. 17-02 of January 10th, 2017, 2017).

Moreover, the National Fund for Supporting SME Development, Investment Assistance, and the Promotion of Industrial Competitiveness covers the financing of aid and support measures for SMEs, pertaining to supporting for the promotion of subcontracting and subcontracting SMEs, particularly in the following areas (**art.2, interministerial order of October 10th, 2020**)(Interministerial order October 10th, 2020, 2020):

- certification and quality improvement of their products and services through technical and material assistance;
- enhancement of SMEs' subcontracting potential via specific programs aimed at improving their performance;

- promotion of subcontracting and partnership activities by supporting subcontracting trade fairs, collecting and analyzing national supply and demand data on subcontracting capacities, and developing related documentation and materials.

4. THE SUBCONTRACTING CONTRACT

Generally, the subcontracting agreement exists when the principal company (the contracting party) selects the subcontractor. The client must be notified of the subcontracting arrangement. While the client may participate in the selection of the subcontractor, they cannot impose a subcontractor on the principal contracting company. The principal company remains responsible for: the quality of work delivered by the subcontractor and delays caused by the subcontractor. The subcontracting agreement must include:

- a detailed description of the works to be performed by the subcontractor;
- implementation timelines and delivery dates;
- the contract value of works to be executed;
- guarantees between the principal contractor and the subcontractor.

This section examines the framework governing subcontracting agreements within Algeria's public works contracts. First, we analyze the key stakeholders involved in public procurement subcontracting arrangements. Our discussion then proceeds through: the legal nature of subcontracting instruments, the contractual assurance mechanisms, and ultimately the insurance requirements applicable to such engagements.

4.1. Principal stakeholders in public procurement subcontracting in Algeria

According to **art. 3, executive decree, n°21-219**(Executive decree no. 21-219 of may 20th, 2021 , 2021), eight distinct parties are involved in public procurement subcontracting arrangements. These include:

- **The contracting authority:** the contracting authority is a legal entity governed by public or private law, possessing the legal capacity to enter into public procurement contracts - particularly works contracts - under the conditions established by public procurement regulations;
- **The project owner:** the project owner refers to the State, acting as a public law legal entity, that initiates a clearly defined project or program for its

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design and/or implementation, with initially established objectives, resources, and expected outcomes;

- **The delegated project owner:** the delegated project owner refers to a public institution or body to which a legally defined project/program is delegated by the Project Owner through a formal delegation agreement, in accordance with prevailing regulations.

Under these terms, the delegated project owner shall be responsible for the execution and/or implementation of all or part of the aforementioned project or program, acting in the name and on behalf of the principal project owner.

The nature of works to be performed under the delegated project or program must fall within the scope of business activities or area of competence of the delegated project owner.

- **The contracting partner:** The term 'contracting partner' shall mean any economic operator, whether Algerian or foreign, which may comprise one or more natural and/or legal person(s), public and/or private entity(ies).

This economic operator undertakes, under the public works contract, to perform its obligations either: individually, jointly, or severally within a temporary consortium of enterprises, or where applicable, through a duly established statutory legal relationship as defined by applicable regulations

Under these general administrative conditions for public works contracts, the term contracting partner shall hereinafter be referred to as the contractor

- **The supervision consultant:** the supervision consultant refers to any natural or legal person, public or private entity, whether Algerian or foreign, possessing the requisite professional qualifications, technical competencies, and necessary resources to perform project supervision services on behalf of the Contracting Authority. The Supervision Consultant commits to delivering services according to agreed target costs, specified timelines, and defined quality standards.

The supervision consultant may specifically include: an architect, a specialized or multidisciplinary engineering firm duly licensed in accordance with applicable laws and regulations.

The supervision consultant may undertake obligations either: individually, jointly and severally within a temporary consortium or through a duly established statutory legal relationship, as permitted under applicable laws and regulations.

- **The technical inspector:** the technical inspector is an authorized body possessing the required professional qualifications to conduct construction technical inspections for buildings, public works, or specialized hydraulic structures. Bound by a duty of care (*obligation de moyens*), its primary responsibilities include: design review and construction compliance verification of structures and structural components with: applicable regulations and standards and approved plans (including modifications and supplements) under its supervision.

The technical construction inspection serves to guarantee the structural stability and long-term durability of works, structural components, and construction services, while mitigating defect risks and preventing potential technical contingencies that may arise during project execution.

- **The owner's project representative (or assistant to the project owner/delegated project owner)** refers to a qualified individual or entity (whether a natural or legal person, public or private, Algerian or foreign) possessing specialized technical expertise and know-how not available internally. This role requires proven multidisciplinary competencies across administrative, technical, and financial domains, specifically related to construction trades, project techniques, and the mastery of project organization, scheduling, coordination, and overall project management. The representative provides critical support to ensure proper oversight and execution of the project on behalf of the owner.

The project management assistance services (PMAS) constitute a distinct advisory function that is strictly separate from both delegated project management and any technical supervision or construction roles. By legal requirement, the same entity cannot simultaneously provide PMAS services while performing design supervision, construction works, or technical inspections for the same project. This independent advisory role is specifically mandated for complex or high-importance.

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- **The subcontractor:** refers to any economic operator, whether Algerian or foreign, comprising one or more natural persons and/or legal entities, public or private, that is engaged by the Contractor to perform specific portions of the Works under this Contract.

The subcontractor constitutes a duly qualified economic operator (whether an individual or legal entity, public or private, of Algerian or foreign nationality) that is indirectly engaged through a formal subcontracting agreement with the main Contractor, who remains the prime beneficiary of the public works contract. This legal relationship must comply with both prevailing regulations and the General Administrative Contract Conditions. Notably, recourse to foreign subcontractors is permitted only when Algerian-registered enterprises demonstrably lack the technical capabilities or required quality standards to execute the specific portion of works under consideration. The subcontractor's engagement is strictly contingent upon proof of professional qualifications and technical competencies relevant to the assigned scope of work (**art. 41.1, executive decree, n°21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021) .

In all circumstances, the contractor engaged in a subcontracting relationship remains solely liable to the contracting authority for all works performed by its subcontractor.

4.2. The subcontracting deed: The Subcontracting deed is subject to multiple administrative and financial conditions. The administrative conditions pertain to the following:

- The primary scope of subcontracting, with reference to certain essential tasks to be performed by the contractor, must be expressly stipulated in the technical specifications, where feasible, and in the public works contract;
- The mandatory submission to the contracting authority by the contractor of a signed copy of the subcontracting agreement between the contractor and the undertaking designated to carry out the subcontracted portion;
- The submission to the contracting authority of the subcontracting declaration and the request for approval of the subcontractor, accompanied by all supporting documents demonstrating the subcontractor's professional, technical, and financial capabilities.

Regarding the financial aspects of subcontracting, particularly the subcontractor's payment terms, these are governed by the provisions of Article 78 of these General Administrative Clauses (**art. 41.4, executive decree n° 21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021).

The subcontractor's payment scheme shall be understood as comprising all terms and conditions establishing the subcontractor's right to payment, whether by the contractor (as the awarded party of the public works contract) or through the regulatory framework for direct payment to the subcontractor, when such payment method is approved by the contracting authority (**art. 78, executive decree n° 21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021).

4.3. The subcontracting contract: The subcontracting agreement, referenced in article **41.2.2, executive decree, n° 21-219**(Executive decree no. 21-219 of may 20th, 2021 , 2021) below, must mandatorily include the following information:

- full name and nationality of the individual authorizing the subcontracting arrangement;
- registered office and corporate name of the subcontracting company, where applicable;
- scope and value of the subcontracted services;
- completion timeline and schedule for the subcontracted services, including applicable financial penalty provisions, where relevant;
- pricing structure, payment terms, and direct payment arrangements (where applicable), plus price adjustment and indexation mechanisms when price variation clauses are included;
- acceptance procedures for delivered services;
- performance guarantees, liability provisions, and insurance requirements;
- dispute resolution mechanisms.

When subcontracting is authorized and under the conditions specified in the tender documents and/or procurement dossier, the subcontractor may be declared either in the bid or during contract performance (**art. 41.2, executive decree, n° 21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021).

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When subcontracting is permitted and declared in the bid, the tenderer shall submit to the contracting authority a statement from the proposed subcontractor specifying, in particular:"

- full name, legal entity name (where applicable), nationality, and registered address of the proposed subcontractor;
- technical, professional and financial capacity of the subcontractor;
- description of services to be subcontracted;
- percentage of works to be subcontracted, not exceeding the maximum permitted threshold;
- payment terms and direct payment arrangements stipulated in the subcontract agreement, including (where applicable) price adjustment mechanisms if the public works contract includes variable pricing clauses.

The contract award notice constitutes acceptance of the subcontractor and approval of its payment terms (**art. 41.2.1, executive decree, n° 21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021)In cases where subcontracting is permitted and the application is submitted following the notification of the public works contract, the contractor shall either deliver to the contracting authority against written receipt or send by registered mail with return receipt requested, a formal declaration containing all information specified in article 41.2.1 above.

The acceptance of the subcontractor and approval of its payment terms shall be formally documented in a subcontract agreement, in accordance with the procedures set forth in Article 41.5 below.

The contracting authority shall have a period of fifteen (15) days from the date of receipt of the documents to decide on the acceptance of the subcontractor and approval of its payment terms (**art. 41.2.2, executive decree, n° 21-219**)(Executive decree no. 21-219 of may 20th, 2021 , 2021).

However, even after contract award, the contractor remains entitled to nominate additional subcontractors, particularly to replace those unable to fulfill their obligations due to circumstances beyond their control. Where the capacities of subcontractors declared in the successful tenderer's bid were considered in the evaluation of the tenderer's qualifications, any newly nominated subcontractors must demonstrate equivalent capacities and meet the

same requirements as those originally stipulated in the technical specifications and/or procurement documents (**art. 41.3, executive decree, n° 21-219**). (Executive decree no. 21-219 of may 20th, 2021 , 2021).

5- Conclusion

The strategic adoption of industrial integration and subcontracting - a driving force of industrial development - represents a critical factor for national economic sovereignty. By developing a robust subcontracting ecosystem, a nation could reduce its import costs for parts and components by as much as fifty percent.

On the government's commitment to fostering subcontracting development, this article examines the mechanisms that can strengthen and ensure better regulation of subcontracting activities. This aligns with the executive branch's policy to bolster industrial infrastructure and stimulate domestic production—an objective whose realization hinges on deeper integration of locally sourced materials. What remains essential is for economic stakeholders to fully embrace the new industrial framework endorsed by the authorities and collaborate in building an integrated ecosystem. Such a system, anchored in a robust subcontractor network, would elevate local content ratios and significantly reduce import dependency.

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